

TELCO CUSTOMER CHURN ANALYSIS

Executive Insights Report

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7,043	1,869	26.54%	73.46%
Total Customers	Churned Customers	Churn Rate	Retention Rate

Key Findings

Across 7,043 customers, 1,869 have churned — an overall churn rate of 26.54%, meaning roughly one in every four customers leaves. The remaining 73.46% retention rate is workable but leaves significant room for improvement, particularly given how concentrated the churn is in a few identifiable segments rather than spread evenly across the base.

- **Tenure is the single strongest signal:** 999 of the 1,869 churned customers (53%) left within their first 12 months of tenure, and 1,308 (70%) left within 24 months. Churn drops off sharply after the two-year mark.
- **Contract type dominates churn:** Month-to-month contracts account for 1,655 of the 1,869 churned customers (88.6%), compared to just 166 on one-year and 48 on two-year contracts.
- **Payment method correlates strongly with churn:** Electronic check users make up roughly 1,100 of churned customers; more than the other three payment methods combined (bank transfer, credit card, mailed check).
- **Service type matters:** Fiber optic customers churn at a visibly higher rate than DSL or no-internet-service customers, despite fiber optic typically being the premium, higher-revenue product.
- **Demographics compound the risk:** Senior citizens churn disproportionately (476 churned vs. a much smaller senior share of the base), and customers without dependents or partners churn more than those with either.

Major Churn Drivers

The dashboard's Service Analysis page isolates the features most associated with churn. Ranked by relative impact:

Driver	Pattern Observed	Business Implication
Contract type	Month-to-month = 88.6% of all churn	Lack of commitment removes switching friction
Tenure	53% of churn occurs in year 1	Onboarding / early experience is the highest-risk window
Payment method	Electronic check $\approx$ 1.1K of 1.9K churned	Manual, non-automated billing correlates with disengagement
Internet service	Fiber optic churns more than DSL	Price/value mismatch or service reliability issue on fiber
Support add-ons	Low Tech Support & Online Security adoption among churners	Customers without support services disengage faster
Senior citizen status	476 of 1,869 churned are seniors	Product/communication may not fit this segment's needs

Taken together, the profile of a high-risk customer is a new (under 12 months), month-to-month contract holder, paying by electronic check, on fiber optic internet, without tech support or online security add-ons.

Business Risks

- **Contract exposure:** With 88.6% of churn concentrated in month-to-month contracts, the business remains highly exposed to short-notice revenue loss — there is no structural buffer against sudden customer exits.
- **Early-life customer loss:** Because over half of all churn happens in the first year, acquisition spend is being lost before customers reach profitability — the payback period on new customers is at risk of never being recovered.
- **Premium-product churn:** Fiber optic is typically the highest ARPU product, yet it shows elevated churn — meaning the company is losing its most valuable customers, not just its cheapest ones.
- **Payment-channel concentration:** A single billing method (electronic check) is associated with a disproportionate share of churn, suggesting either a payment-friction problem or that this method correlates with a lower-commitment customer segment.
- **Revenue leakage is material, not marginal:** \$2.86M of the \$16.06M total revenue (about 17.8%) has already been lost to churned customers, with month-to-month contracts alone accounting for roughly \$1.9M of that loss.

4. Revenue Impact

Total revenue across the customer base is \$16.06M, against which \$2.86M (17.8%) has already been lost to churn. The loss is not evenly distributed:

Contract Type	Revenue Lost to Churn
Month-to-month	\$1.9M
One year	\$0.7M
Two year	\$0.3M

Month-to-month contracts alone account for roughly two-thirds of all revenue lost to churn — directly mirroring their share of churned customers. Fiber optic and month-to-month segments together represent the largest waterfall decreases in the Revenue Lost to Churn by Internet Service view, confirming that the same segments driving customer-count churn are also driving the dollar losses. Average monthly charges are also notably higher for churned customers (\$74) than retained customers (\$61), meaning the business is losing its higher-spending customers at a faster rate than its lower-spending ones.

5. Customer Segments Requiring Attention

Based on churn concentration, revenue at risk, and tenure patterns, four segments should be prioritized for intervention:

- **New month-to-month customers (0–12 months tenure) — highest priority.** New, month-to-month customers within their first 12 months. This single overlapping segment accounts for the majority of both churned customers and lost revenue, and represents the highest-leverage intervention point.
- **Fiber optic subscribers without add-on services (no Tech Support, no Online Security, no Device Protection).** This group churns at an above-average rate despite paying the highest average monthly charges, making them the most expensive segment to lose.
- **Electronic-check payers and senior citizens.** These customers show a meaningfully higher share of churn relative to their proportion of the base, warranting a targeted retention or support outreach.
- **Month-to-month customers who are otherwise good candidates for contract upgrades.** With one-year and two-year contract customers showing dramatically lower churn (166 and 48 customers respectively, versus 1,655 on month-to-month), converting even a fraction of the highest-risk segment to term contracts would materially reduce churn.

6. Executive Recommendations & Strategic Actions

Immediate (0–30 days)

- Launch a first-90-days onboarding and check-in program targeting new customers, since over half of churn occurs in year one.
- Offer a limited-time incentive (bill credit or discounted rate) for month-to-month customers to convert to one- or two-year contracts, directly targeting the segment responsible for 88.6% of churn.
- Investigate and resolve friction in the electronic-check payment experience, or migrate these customers toward autopay (bank transfer / credit card) with a small incentive.

Near-term (30–90 days)

- Bundle Tech Support and Online Security into fiber optic packages at little or no extra cost for at-risk customers, given the clear link between missing add-ons and churn.
- Build a proactive retention outreach for senior citizens and customers without partners/dependents, using tailored offers rather than generic campaigns.

Strategic (90+ days)

- Reassess fiber optic pricing and service reliability; a premium product should not carry above-average churn.
- Redesign contract incentives so that the value gap between month-to-month and term contracts is large enough to shift enrollment mix over time.
- Track Customer Lifetime Value (CLV) by segment going forward, not just churn rate, so retention spend can be prioritized toward the customers worth saving.

Summary

The data tells a consistent story: The company's churn is not random, it is concentrated in new, month-to-month, electronic-check, fiber-optic customers without support add-ons. This concentration is an opportunity as much as a risk: because the drivers are so identifiable, targeted interventions (contract conversion incentives, onboarding, payment-method migration, and add-on bundling) can plausibly move the needle on both the 26.54% churn rate and the \$2.86M in lost revenue without requiring an untargeted, company-wide retention spend.